



Vacation homes: the retreat that never lets you retreat

What starts as a weekend destination can become a year-round burden as life changes

Shipra Singh
shipra.singh@livemint.com
NEW DELHI

When Gaurav Arora was leaving Goa in 2013 after working there for more than two years, his family wanted a reason to return. He bought an apartment in Porvorim for about ₹65 lakh, planning to visit every six months and rent it out when away.

Neither worked out as planned. Over the next 10 years, the family visited Goa only about five times. "The children wanted to holiday in new places and going back to the same place started feeling restrictive." Yet the house demanded attention whether they used it or not. Arora paid a ₹50,000 monthly EMI, property manager's salary, monsoon repairs and replacement costs for appliances damaged by Goa's humidity. Airbnb hosting brought its own challenges. "The housing society would complain about guests making noise," he recalled.

When he moved from Mumbai to Dubai in 2023, he sold the property to a neighbour for roughly what he had paid a decade earlier. "I could not handle the affairs of the society or maintenance, and finding tenants remotely from Mumbai was a challenge," he said. Arora's experience captures a part of vacation-home ownership often overlooked at the time of purchase.

A house in the hills, by the beach or a few hours from the city may begin as a lifestyle purchase, but maintaining it remotely or renting it out can turn ownership into a small hospitality operation, said Kanav Mata, director and regional head, India, South Asia and Middle East at EHL Hospitality Business School. "With staffing, seasonal upkeep and the economics of renting it out when you're not there, the work is equivalent to running a small venture."

Upkeep and maintenance

A vacation home offers a familiar place to escape, potential capital appreciation and the option to earn rental income. But the running costs can be harder to gauge before purchase.

Mangesh Zope, founder of Peaceful-loans, bought land at Grape County near Nashik in 2014 for about ₹80 lakh after making windfall gains in the stock market. He had not accounted for the cost of building a house, which would require another ₹1-2 crore, or the maintenance of vacant land. "The land itself requires continuous attention. There is grass to cut, boundaries to maintain, trees to water and fertilize and labour to supervise. The area does not have a reliable government water supply, which adds to the challenges," he said.

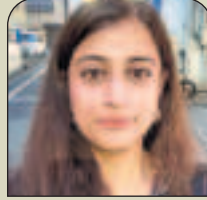
His mother, Jyoti, spends ₹12,000 a month on maintenance, while a visit every three months costs ₹15,000-20,000. "When we bought the land, we didn't envision how much it would cost just to maintain it."

Beyond taxes, security, society charges and utilities, weather and long vacancies can add irregular costs.

Delhi resident Saloni Singh bought a home in Khurpatal in 2014 as a retreat from the city and visits once every three months. Society maintenance is about ₹3,000 a month, but the hill property needs regular attention. "Khurpatal receives substantial rain, which means seepage, dampness and mould have to be watched out for. I have a trusted local resident who checks on the house and cleans it regularly," she said.

Vacation homes: dreams vs reality

A house in the hills, by the beach or a few hours' drive from the city may begin as a lifestyle purchase, but maintaining remotely or renting to paying guests can become a small hospitality operation.

GAURAV ARORA Dubai	MANGESH & JYOTI ZOPE Mumbai	SALONI SINGH Delhi	SHREYA BADOLA Dehradun
			
BOUGHT			
A 3-BHK in Goa for ₹65 lakh in 2013	A farmland in Nashik for about ₹80 lakh in 2014 to build a weekend home	Holiday homes in Goa and Khurpatal	A weekend home in Karjat while living in Mumbai
PLAN			
To visit every 6 months and earn rental income	To build a farmhouse	To escape Delhi, eventually settle there	Frequent getaways with her dog
REALITY			
5 visits in 10 years	Maintaining the land is already challenging, and the house could cost another ₹1 crore	Sold Goa house 4 years later. Still maintains Khurpatal house for eventual retirement	Moved from Mumbai to Dehradun recently
RUNNING COST			
₹50,000 EMI, manager's salary, repairs	₹12,000 a month + ₹12,000-15,000 per quarter for farm visits	₹3,000 a month in society charges, regular cleaning and upkeep	₹12,000 a month in society charges
PAIN POINTS			
Remote management and hosting	Finding reliable workers for maintenance and supervision	Damage from rain, dampness and seepage	The house is now hundreds of kilometres away
OUTCOME			
Sold in 2023 for roughly the purchase price	Still holding the land but in no hurry to build the house	Plan to keep it and eventually move there	Considering listing it on Airbnb
“Children wanted to holiday in new places and going back to the same place started feeling restrictive.”	“Maintenance is relentless, there are costs you don't anticipate when you buy and a property meant for relaxation can become work.”	“Substantial rain brings seepage and mould, and while society charges aren't much, keeping a rarely used house in good condition adds up.”	“We are not thinking of selling as we have just bought it. For now we will just list it on Airbnb to offset costs and keep it occupied.”

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GOPAKUMAR WARRIER/MINT

Singh had a similar experience with a Goa property. She bought a home in Ribandar for ₹45 lakh but found frequent trips from Delhi impractical. She sold it for ₹55 lakh four years later. "My learning has been that a vacation home should be close enough to your primary city, unless you have dependable local help looking after the property."

Renting and hosting challenges

Rental income can offset costs, but short-term rentals bring responsibilities including bookings, guest communication, housekeeping, repairs and complaints.

Airbnb estimates short term rentals had average occupancy of about 40% in 2025, an average daily rate of ₹3,330 and annual revenue of about ₹4.88 lakh. The figures vary by property and location, but show why owners should not assume steady rental income.

Ramesh Vishwanathan, chief executive of FPSB India, said buyers expect rental income to offset ownership cost. "However, any such assessment must be based on realistic assumptions, net yields after expenses, vacancy periods, maintenance and management charges rather than headline rental rates."

For Arora, renting out the Goa apartment did not solve operational problems because someone still had to manage the property. Singh's society does not permit short-term rentals.

Changing life situations

A vacation home is bought around assumptions about how a family will live and holiday for years. But jobs, finances and even holiday preferences can change much sooner.

Shreya Badola and her husband bought a property in Karjat in mid-2025 after living between Delhi and Mumbai for 15 years. "The main idea was that our dog gets an open space to spend time outside an apartment," she said. By the time the house was ready, they had moved

from Mumbai to Dehradun to be closer to family. The couple visited twice but pays about ₹12,000 a month in maintenance. They are considering listing it on Airbnb. "An unused house doesn't stay in good shape for long. And it also doesn't make financial sense," she said. Finances can change, too. Zope was salaried when he bought the Nashik land but later became an entrepreneur, making cash flows less predictable.

"During the early years of my venture when I wasn't earning, my mother was funding much of the upkeep of the farm," he said.

Affordability therefore needs to be assessed over several years, not just at purchase. The property will continue to need money even if income falls, the family relocates or the home is used less than expected.

A vacation home need not beat a financial investment to have value. Family time, access to nature and possibility of retiring there are genuine benefits. But the money committed to it has an opportunity cost. Vishwanathan said capital tied up in a second home could otherwise go towards retirement, children's education, healthcare or a diversified investment portfolio.

Buyers should consider how often they will realistically use the home, who will manage it in their absence and whether they can afford its upkeep without relying on rental income.



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What happens to an investor's crypto assets after his death?

Kritika Seth & Isiri Rajaneesh

I hold crypto on an Indian exchange and in a personal wallet. Can my family inherit it if I die suddenly?
—Name withheld on request

India does not recognise cryptocurrencies as legal tender, but crypto assets are not prohibited from being held or traded. Indian tax law recognises them as virtual digital assets under Section 2(11) of the Income Tax Act, 2025. As property, they can form a part of your estate and pass to legal heirs under a will or succession law. The practical process, however, depends largely on the exchange or wallet through which they are held. Exchanges generally hold users' tokens as custodians, and courts have treated such holdings as held in trust for the user. The tokens remain yours, not an exchange's assets. Your family would have to approach the exchange, which will generally ask for proof of death, KYC documents and proof of legal heirship, such as probate or a succession certificate. There is currently no nomination facility for crypto, unlike bank account or demat shares, and procedures vary across exchanges. In a dispute, courts can direct an exchange to preserve assets, even where its



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terms provide for arbitration outside India, if there is a substantial connection with India.

For tokens held in a personal wallet, control lies with whoever holds the private key or seed phrase; no exchange or custodian for your family to approach. Even if heirs are entitled to the tokens, assets may be lost permanently if the key or seed phrase cannot be found. Legal title is of little use without technical access, making lifetime succession planning essential. Transfers of virtual digital assets are taxed at 30% under Section 194 of the Income Tax Act, 2025 (Section 115BBH of the Income Tax Act, 1961), with 1% tax deducted at source under Section 194S.

Exchanges operating in India must also register as reporting entities under the Prevention of Money Laundering Act, 2002 and comply with KYC and reporting requirements. Heirs should seek tax advice on the treatment of inherited assets both on receipt and subsequent sale. India does not yet have a comprehensive crypto law, so custody, asset segregation and succession remain largely governed by general law and platform terms.

You should include crypto assets in a will, identifying the exchange accounts and wallets and appointing a trusted executor. Do not put private keys or seed phrase in the will as it may become part of court records. Instead, arrange secure access for the executor, such as an off-line record kept with a trusted person or lawyer, and update it as your holdings change. Keep records of your accounts, purchases and wallet addresses, and review the arrangements periodically.

Kritika Seth is the founding partner and Isiri Rajaneesh is an associate at The Victorian Legalis (TVL).

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Compare NRE FD rates

Non-resident Indians (NRIs) can open NRE fixed deposits with different Indian banks. The benefit of an NRE deposit is that it can be opened simply by making inward remittance to India in any freely convertible currency. Another benefit is that the interest earned on NRE deposits are tax-free and the deposit is fully repatriable, allowing NRIs to transfer funds back to their country of residence without restrictions. NRE FDs can be opened and managed online too with Indian banks. NRIs can also obtain loan against NRE FDs which can be used for a variety of purposes. These loans can be granted to the NRI in India or outside India (by overseas branch of Indian banks) or even to third parties.



NRE Term Deposits Interest Rates (%) upto ₹1 crore				
	1 to < 2 years	2 to < 3 years	3 to < 5 years	5 years and above
DCB Bank	6.90-7.10	6.90-7.50	7.00-7.10	7.00-7.50
Jammu & Kashmir Bank	6.55-6.65	6.75-7.05	6.70	6.75
YES Bank	6.65-7.25	6.90-7.00	7.00	6.75
RBL Bank	7.00-7.20	7.20	7.00-7.20	6.70
Tamilnad Mercantile Bank	6.60-7.25	7.00	6.70	6.70
Axis Bank	6.25-6.50	6.50	6.50	6.50
Dhanlaxmi Bank	6.25-7.10	6.25-6.50	6.50-7.25	6.50-6.60
ICICI Bank	6.25-6.30	6.30-6.45	6.45-6.50	6.50
IndusInd Bank	6.75-6.90	7.00	6.65-7.00	6.50-6.65
Federal Bank	6.25-6.65	6.50-6.55	6.50-6.70	6.40
Canara Bank	6.25-6.60	6.25	6.25	6.25
City Union Bank	6.50-7.25	6.50	6.50-6.55	6.25-6.55
Karur Vysya Bank	6.55-6.20	6.55	6.55	6.25-6.55
Kotak Mahindra Bank	6.35-6.55	6.65	6.40	6.25
HDFC Bank	6.25-6.45	6.45	6.40-6.50	6.15-6.40
Indian Overseas Bank	6.40-6.60	6.40	6.10	6.10
State Bank of India	6.25-6.45	6.15	6.00	6.05

Data taken from respective bank's website as on 29 September 2026; Only main entity of the merged banks are taken. Banks which merged with its main entity are removed from the table; The list of 17 banks is based on highest fixed deposit rates available for 5 years and above.

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Source: BankBazaar

CHASING THE NEXT BIG OPPORTUNITY? SIX QUESTIONS TO ASK BEFORE YOU INVEST



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MRIN AGARWAL

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Over the last few months, there have been many queries on SIFs (specialized investment funds) and GIFT City investments. Some of these enquiries have been led by genuine investor interest, but more so by the feeling that these new and exclusive products, available to people who can commit over ₹10 lakh, make better returns compared with regular mutual funds. Investor inflows growing by 200% in SIFs and by 68% in GIFT City registered users in this financial year corroborate this.

The psychology of novelty and narratives built around a product often trigger investors to take these bets. Whether it is cryptocurrencies, unlisted stocks or stock baskets, the appeal of trying something new, being among the first to invest and gaining access to an opportunity that others may not have discovered yet can be a powerful driver. It can overshadow the more important

question: what role does this investment have in my financial life? Instead of evaluating the role of a product solely on the basis of expected returns, here are a few questions investors need to ask themselves before choosing any product or scheme.

Six checks before investing

Firstly, what can go wrong, or what is the risk in the product? For example, investors have been piling into lowest-rated corporate bonds, ignoring the default risk. Investors who had blindly invested in cryptocurrencies did not anticipate hacking incidents. Investors must understand in depth how the product works and the risks that could arise, and evaluate if they are in line with their risk-taking capacity.

Secondly, where does this product fit in the portfolio? Does one use it for a core goal or as a tactical allocation? If it is meant to be a core holding, can one really trust this product now for the long term? If it is a tactical call, can one afford losses? SIFs are one such product where investors need to assess all the above.

Thirdly, does the product add something that one does not already have in their portfolio? In other words, is it helping one diversify or increasing exposure to existing holdings? For example, a mid-cap-oriented stock basket may have high overlap with mid-cap funds, in which case, it doesn't provide diversification.

Fourth, does the expected return beat inflation on a post-expense, post-tax basis, and does it beat existing investments by a good margin? It has been noted that some PMS/AIFs' post-tax



returns hardly beat mutual fund returns by 1-2% per annum in which case, is it really worth taking the extra risk and costs?

Fifth, what are the costs and how easy is it to get back one's capital? With unlisted stocks, there is no transparent price discovery and liquidity is low. Hence, this exposure increases the (non-direct) costs and illiquidity in the portfolio, not something any investor would desire.

Finally, is the taxation on the investment simple? Those want-

ing to take international exposure through GIFT City should note that non-MF investments done through GIFT City are treated as foreign investments and need Schedule FA and other foreign asset reporting in the ITR. Is the amount being invested really worth adding complications in the ITR and facing the repercussions of not following FEMA rules?

Keep it simple

All investments should have a clear role in the portfolio and ensure genuine diversification

In the quest for better and possibly quick returns, investors are turning to new options but tend to miss out on basic checks. But, for most investors, a simple portfolio with a combination of broad-based mutual funds and NPS would work well for the long term. Even with these core investments, one must check all the above points to ensure a well-diversified

portfolio in line with goals. Newer investments should be tracked for a few years before investing. Further, these are more of tactical and unique investments and one must have the ability to accept volatility or negative returns. The key is to find a few outstanding investments rather than going after everything trending.

Mrin Agarwal is a financial educator & CEO of Finsafe India Pvt., a workplace financial wellbeing company.